

Mindteck Canada, Inc.

Financial Statements

March 31, 2023

(Unaudited - see Compilation Engagement Report)

Mindteck Canada, Inc.

March 31, 2023

CONTENTS

	<u>Page</u>
Financial Statements	
Compilation Engagement Report	1
Balance Sheet	2
Statement of Income	3
Statement of Retained Earnings	4
Statement of Cash Flows	5
Notes to the Financial Statements	6



COMPILATION ENGAGEMENT REPORT

To Management of Mindteck Canada Inc.,

On the basis of information provided by company's management, we have compiled the non-consolidated balance sheet of Mindteck Canada Inc., as at March 31, 2023 and the non-consolidated statements of income and retained earnings for the year then ended, and Notes, which describes the basis of accounting applied in the preparation of the compiled financial information and other explanatory information ("financial information").

Management is responsible for the accompanying financial information, including the accuracy and completeness of the underlying information used to compile it and the selection of the basis of accounting.

We performed this engagement in accordance with Canadian Standard on Related Services (CSRS) 4200, Compilation Engagements, which requires us to comply with relevant ethical requirements. Our responsibility is to assist management in the preparation of the financial information.

We did not perform an audit engagement or a review engagement, nor were we required to perform procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an audit opinion or a review conclusion, or provide any form of assurance on the financial information. Prior to compiling the company's financial statements, we prepared journal entries that effect these financial statements.

Readers are cautioned that these statements may not be appropriate for their purposes.

DocuSigned by:

Harpreet Dhawan

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Harpreet Dhawan CPA

HDCPA Professional Corporation

Chartered Accountants

Authorized to practice public accounting by

Chartered Professional Accountants of Ontario

Mississauga, ON

Date: 5/18/2023

Mindteck Canada, Inc.

Balance Sheet

March 31, 2023

(Unaudited – see Compilation Engagement Report)

	Note	2023	2022
Assets			
Current Assets			
Cash and cash equivalents		\$ 293,415	\$ 397,642
Accounts receivable, net of allowances		63,328	185,822
Taxes Receivable		68,571	2,630
Unbilled revenue		-	161,409
Total Current Assets		425,314	747,503
Total Assets			
		\$ 425,314	\$ 747,503
Liabilities and Shareholders' Equity			
Current Liabilities			
Accounts payable and accrued liabilities	2	\$ 12,041	\$ 237,577
Taxes payable		846	24,735
Due to related parties		23,960	37,530
Total Current Liabilities		36,847	299,842
Equity			
Share capital		100	100
Additional Paid-in-Capital		214,019	214,019
Retained earnings - ending		174,348	233,542
Total Equity		388,467	447,661
Total Liabilities and Equity		\$ 425,314	\$ 747,503

Approved on Behalf of the Board:

DocuSigned by:

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The accompanying notes are an integral part of these financial statements.

Mindteck Canada, Inc.

Statement of Income

For the Year Ended March 31, 2023

(Unaudited – see Compilation Engagement Report)

	2023	2022
Revenue		
Services	\$ 611,942	\$ 1,961,620
Cost of sales		
Trades and subcontracts	521,558	1,608,703
Gross profit	90,384	352,917
Operating expenses		
Bad debt expense	8,791	(4,274)
Interest and bank charges	2,529	2,992
Office expenses	308	458
Professional fees	7,250	6,856
Salaries and wages (Note 3)	152,040	168,660
Total operating expenses	170,918	174,692
Income from operations	(80,534)	178,225
Non operating income and expenses		
Income (loss) before income taxes	(80,534)	178,225
Income taxes		
Current income taxes	(21,341)	47,239
Income (loss) before extraordinary items	(59,193)	130,986
Net income (loss)	\$ (59,193)	\$ 130,986

The accompanying notes are an integral part of these financial statements.

Mindteck Canada, Inc.

Statement of Retained Earnings

For the Year Ended March 31, 2023

(Unaudited – see Compilation Engagement Report)

	2023	2022
Retained earnings - beginning	\$ 233,542	\$ 102,554
Net income	(59,193)	130,988
Retained earnings (deficit)	\$ 174,348	\$ 233,542

The accompanying notes are an integral part of these financial statements.

Mindteck Canada, Inc.

Statement of Cash Flows

For the Year Ended March 31, 2023

(Unaudited – see Compilation Engagement Report)

	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income (loss) for the period	(59,193) \$	130,987
(Increase) decrease in receivables	122,494	112,316
(Increase) decrease in sales tax receivable	3,476	4,077
Increase (decrease) in prepaid expense and other assets	161,409	(90,716)
Increase (decrease) in accounts payable and accrued expenses	(225,537)	(34,507)
Increase (decrease) in due to related parties	(13,570)	(12,573)
Increase (decrease) in accrued taxes payable	(93,306)	16,715
TOTAL CASH FLOWS FROM OPERATING ACTIVITIES	(104,227)	126,299
CASH FLOWS FROM INVESTING ACTIVITIES:		
CASH FLOWS FROM FINANCING ACTIVITIES:		
OTHER ACTIVITIES:		
Net cash increase (decreases) in cash and cash equivalents	(104,227)	126,299
Cash and cash equivalents at beginning of period	397,642	271,343
Cash and cash equivalents at end of period	293,415 \$	397,642

The accompanying notes are an integral part of these financial statements.

Mindteck Canada, Inc.

Notes to Financial Statements

For the Year Ended March 31, 2023

(Unaudited – see Compilation Engagement Report)

1. Basis of Accounting

The basis of accounting applied in the preparation of the financial information is on the historical cost basis, reflecting cash transactions with the addition of:

- certain accounts receivable net of any allowance for doubtful accounts
- certain prepaid expenses where the company has not yet obtained economic benefits from
- certain accounts payable and accrued liabilities
- current income taxes payable as at the reporting date

2. Accounts Payable & Accrued Liabilities

	<u>2023</u>	<u>2022</u>
Sundry Creditors-Vendors	5,569	159,370
Provision for Expenses	6,472	78,207
Total	12,041	237,577

3. Salaries and Wages

Salaries and Wages include allocation of personnel and administrative costs by the parent company Mindteck Inc. in the amount of \$149,040 (2022 - \$166,660).